

Q5 Product is a bundle of utilities. Explain.

0.8 Explain the three different levels of pack

Q-10 Explain the following events occurring in the production of (ii) Extent of competitive

(i) The utility and demand (ii) Pricing of

Q.13 Explain the major components of physics

Q.18 Discuss the promotion as an element of

Chapter 11
Marketing

Trade is a process whereby people exchange goods and services for money or for something of value to them.

Marketing is a social process where, as people interact with others, in order to persuade them to act in a particular way, say to purchase a product or a service, rather than leaving them to do so.

EVOM

1. **Competition:** Who are the competitors? A marketer's job is to identify the competitors, understand their strengths and weaknesses, and develop and deliver more value to the target customers than the competitors.
2. **Creating a market offering:** Select differentiating points to a competitive advantage. At a certain price, offer a unique value (unique idea, quality, service, etc.) that is superior to the competitors. The value proposition is what the company offers to the target customers. The value proposition is the company's promise to deliver a unique value to the target customers.
3. **Customer Value:** The value that a customer perceives and is willing to pay for a product or service. The value proposition is the company's promise to deliver a unique value to the target customers. The value proposition is the company's promise to deliver a unique value to the target customers.
4. **Exchange:** The process of exchanging value between the company and the customer. The exchange is the process of exchanging value between the company and the customer. The exchange is the process of exchanging value between the company and the customer.
5. **Marketing Mix:** The set of marketing tools that a company uses to achieve its marketing objectives. The marketing mix is the set of marketing tools that a company uses to achieve its marketing objectives. The marketing mix is the set of marketing tools that a company uses to achieve its marketing objectives.

1. **Production Concept:** Production concept is based on the belief that **quality** could be achieved by focusing on **production** and **cost**.

2. **Product Concept** The emphasis of the firms shifted from quantity production to quality of products. The focus of business activity corresponded to bringing continuous improvement in the quality, microprofiting method.
3. **Business Concept** Selling concept is based on the belief that profitable sales can be maximised by increasing sales volume by understanding appropriate selling and promotional efforts.
4. **Marketing Concept** Marketing orientation implies that focus on satisfaction of customers' needs is the key to the success of any business organisation. It is a business philosophy, an organisational philosophy, and a management philosophy. In other words, an organisation can meet its objective of maximisation of profit, by identifying the needs of its present and prospective buyers and satisfying them in an effective way.
5. **Philosophy in the Marketing Concept:**
 - (i) Identification of market or customer who are chosen as the target of marketing effort.
 - (ii) Understanding needs and wants of customers in the target market.

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MARKETING CONCEPT: The societal m

consumers and the marketing concept is the extension of

Marketing

Full-time and analysing market information

the customers and services. This involves

through interactive sites on the internet, SMS

3. Product designing and development

producing goods of predetermined specifications.

Grading is the process of classification

services like after sales services, handling and administrative services, maintenance services and spare parts.

labelling refers to decision and develop-

product is assessed by the buyers form

- **Marketing** helps in creating product and helps in building customer's loyalty and

over the price, higher would be the d

Strategies, determining the price and ch

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Another consideration of these elements is used by a firm with dependence upon various factors such as: (A) radius of conduct, (B) nature of

retailers) to be used, and

managing inventory (levels of stock of goods), storage in warehouses and transportation of goods from one place to the

such as nature of the product, cost and location of target markets.

- Irregular demand for the products such as in the case of wool

need for proper storage of the products. Unless, of course, a need for proper storage of the products arises, there is no need for proper storage of the products. Unless, of course, a need for proper storage of the products arises, there is no need for proper storage of the products.

Marketing mix is the set of tools and techniques used to achieve marketing objectives in a target market.

Marketing Mix is the set of marketing to

-45-
Elements of Marketing Mix:

PRODUCT: Product means goods or services or anything

- [illegible]

Cost	In advertising, the cost per person reached is very low.	The cost per person is quite high in the case of personal selling.
Media used	Advertising makes use of mass media such as television, radio, newspapers and magazines.	Personal selling makes use of sales staff, which has limited reach.
Feedback	Advertising lacks direct feedback. Marketing research efforts are needed to judge the customers' reactions to advertising.	Personal selling provides direct and immediate feedback. Salespersons come to know about the customers' reactions immediately.
Flexibility	Advertising is inflexible, as the message cannot be adjusted to the needs of the buyer.	Personal selling is highly flexible, as the message can be adjusted.
Time/Coverage	Advertising can cover the market in a short time.	Personal selling efforts take a lot of time to cover the entire market.
Role	Advertising is more useful in creating and building interest of the consumers in the firm's products.	Personal selling plays an important role at the awareness stage of decision-making.
Suitability	Advertising is more useful in marketing to the ultimate consumers who are large in numbers.	Personal selling is more helpful in selling products to the industrial buyers or to intermediaries such as dealers and retailers who are relatively few in numbers.

3. Sales Promotion

MEANING

Sales promotion refers to short-term incentives, which are designed to encourage the buyers to make an immediate purchase of a product or service.

These include all promotional efforts other than advertising, personal selling and public relations, used by a company to boost its sales. Sales promotion activities include offering cash discounts, sales contests, free gift offers, free sample distribution, etc. Sales promotion is usually undertaken to supplement other promotional efforts such as advertising and personal selling.



Sales Promotion Techniques

Companies use sales promotion tools specifically designed to promote to:

- Customers (e.g., free samples, discounts, and contests),
- Tradersmen or middlemen (e.g., cooperative advertising, dealer discounts and dealer incentives and contests), and
- Salespersons (e.g., bonus, salesmen contests, special offers).

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Public Relations

MEANING

Public relations involve a variety of programmes designed to promote or protect a company's image and its individual products in the eyes of the public.

- Sponsoring sports and cultural events,
- Contributing money and time to certain causes like environment, wildlife, children's rights, education, etc.

Public relations management can be performed by:

- the marketing department; or
- a separate department to manage public relations, known as the public relations department; or
- any outside public relations agency.

Their main task is to disseminate information and build goodwill about the business.

Major goal

Public relations programmes are especially useful when there is negative publicity about the company or its products. At that time, the situation has to be tackled like an emergency to improve public image. The public relations department then has to do something drastic so that damage to company's image is controlled and minimised. They also advise the top management to adopt certain programmes which will add to their public image and ensure that negative publicity does not take place at all.

Managing public relations of an organisation is an important task. The business needs to communicate effectively to customers, suppliers, and dealers, since they are instrumental in increasing the sales and profit. Similarly, the business relates with a number of groups including shareholders, intermediaries, activist groups, and the government. For example, active support of middlemen is needed if the firm wants to survive in a competitive selling environment.

- The voice or opinion of the general public is equally important as they may be interested in the company and its product and have an impact on the business's ability to achieve its objectives. Thus, it becomes imperative to manage public opinion and the company's relation with the public on a regular basis.
- Consumer activist groups need to be satisfied because they can impose restriction on the sales of the firm's products directly by urging customers to refrain from buying them or through the imposition of laws.

Competency Based Questions



Q.1 'Cocoanut Joy Ltd.' are the manufacturer of vegetarian frozen dessert food products made with coconut milk, agar syrup and other certified ingredients. The founders of the company Lovely and Lalita originally developed this treat to meet their own needs but found that their friends and families around were also keen to use the products. It was not only the vegetarians, but also those who could not get enough environment friendly sustainable food, that appreciated the product.

It did not take long for Lovely and Lalita to recognise the potential of their little venture. In the beginning they started from their home with the product being sold through local family parties that enabled guests to personally meet the owner. This helped to establish strong connections with the prospective buyers and the company could put the product on shelves of natural food store. The company used all marketing activities to grow and expand. The company began sponsoring booths at festivals, drawing attention to its newly created vegetarian products. It also disseminated relevant information to media about its products and the people who helped in building the company's reputation. Lovely and Lalita were invited for an interview with one of the leading TV channels in which they talked about their environment-friendly vegetarian products. To show its gratitude to customers, local business and government officials supported the company from the beginning. Cocoanut Joy Ltd. hosted a gala event and involved all of them to raise funds for a few local NGOs. The company also asked its fans and customers to send songs and poetry conveying their impression about 'Cocoanut Joy Ltd.' products. Identify the communication tool used by 'Cocoanut Joy Ltd.'

Ans. Public Relations

1. **Direct Channel (Zero Level):** The most simple and the shortest mode of distribution is direct distribution, wherein the goods are made directly available by the manufacturers to customers, without involving any intermediary. This is also called zero level channel. A straight and direct relationship is established between the manufacturer and the customer.

Examples or Method of Direct Selling/Direct Distribution/Zero Level Channel:

- Selling goods through own retail outlets (e.g., McDonalds, Bata, etc.)
- Selling through own sales force
- Mail order selling
- Internet selling

2. **Indirect channels:** Indirect channels of distribution means making goods available to the consumers by employing one or more intermediaries.

(i) **Manufacturer—Retailer—Consumer (One level channel):** Only one intermediary, i.e., retailers is used between the manufacturer and the consumers. That is, goods pass from the manufacturer to the retailers who, in turn, sell these goods to the final users. For example, Maruti Udyog sells its cars and vans through company approved retailers. This type of distribution network enables the manufacturers to cover a wide area of market while retaining control over the Channels.

(ii) **Manufacturer—Wholesaler—Retailer—Consumer (Two level channel):** This is the most commonly adopted distribution network for most consumer goods like soaps, oils, clothes, rice, sugar and pulses. Here, the wholesalers and retailers function as connecting links between the manufacturer and consumers. Use of two middlemen in the channel network enables the manufacturer to cover a larger market area.

(iii) **Manufacturer—Agent—Wholesaler—Retailer—Consumer (Three level channel):** In this channel, there are three intermediaries involved—agents, wholesalers and retailers. Manufacturers use their own selling agents or brokers who connect them with wholesalers and then the retailers. It is done particularly when the manufacturer carries a limited product line and has to cover a wide market. An agent in each major area is appointed, who in turn, contact the wholesalers.



Competency Based Question

Ajay was appointed as marketing head of 'Alfa Enterprise' manufactures of toothpastes and toothbrushes. His target sale was 2,000 units a month. Apart from thinking about various channels of distribution to achieve the target, he himself started visiting schools in backward areas. He found that even after taking various steps and counselling, some school children had not started brushing their teeth. He investigated and found that they could not afford to buy a toothbrush. He started donating 200 toothbrushes and toothpastes every month to the school. *Identify the channel of distribution Ajay would adopt for distribution of toothpaste and toothbrushes and justify it by giving one reason.*

The channel of distribution Ajay would adopt is two level channel, i.e., Manufacturer—Wholesaler—Retailer—Consumer, because he is distributing consumer goods.

Promotion Mix – Concept and Elements

MEANING

Promotion mix refers to combination of promotional tools used by an organisation to achieve its communication objectives.

Various tools of communication are used by the marketers to inform and persuade customers about their firm's products. These include:

- Advertising
- Personal Selling
- Sales Promotion
- Public Relations

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There are also called elements of promotion mix and can be used in different combinations to achieve the goals of promotion. For example, consumer goods firms may use more of advertising through mass media while the industrial goods firms may be using more of personal selling.



What combination of these elements is used by a firm will depend upon various factors such as:

- Nature of market.
- Nature of product.
- Objectives of promotion, etc.

1. Advertising

It generally come across hundreds of advertising messages everyday, which tell us about various products such as soft soaps, detergent powder, soft drinks and services such as hotels, insurance policies, etc. Advertising is perhaps the most commonly used tool of promotion.

The most common modes of advertising are 'newspapers', 'magazines', 'television', and 'radio'.

MEANING

Advertising is an impersonal form of communication, which is paid for by the marketers (sponsors) to promote their products.

Features of Advertising

- Paid Form:** Advertising is a paid form of communication. That is, the sponsor has to bear the cost of communicating with the prospective buyers.
- Impersonal:** There is no direct face-to-face contact between the prospective buyers and the advertiser. It is, therefore, referred to as impersonal method of promotion. Advertising creates a monologue and not a dialogue.
- Identified Sponsor:** Advertising is undertaken by some identified individual or company, who makes the advertising efforts and also bears the cost of it.

2. Personal Selling

MEANING

Personal selling involves oral presentation of message in the form of conversation with one or more prospective customers for the purpose of making sales.

It is a personal form of communication. Companies appoint salespersons to contact prospective buyers and create awareness about the product and develop product preferences with the aim of making sale.

Features of Personal Selling

- Personal Form:** In personal selling, a direct face-to-face dialogue takes place that involves an interactive relationship between the seller and the buyer.
- Development of Relationship:** Personal selling allows a salesperson to develop personal relationships with the prospective customers, which may become important in making a sale.

Difference between Advertising and Personal Selling

Basic	Advertising	Personal Selling
Form	Advertising is an impersonal form of communication.	Personal selling is a personal form of communication.
Message	Advertising involves transmission of standardised messages, i.e. same message is sent to all the customers in a market segment.	In personal selling, the sales talk is adjusted keeping in view the customer's background and needs.
Reach	It reaches masses, i.e. a large number of people can be approached.	Only a limited number of people can be contacted because of time and cost considerations.

6. Marketing methods used

Price determination is also affected by the distribution system, quality of salesmen employed, quality and amount of advertising, sales promotion efforts, the type of packaging, product differentiation, credit facility and customer services provided.

Uniqueness of any of these elements gives the company a competitive freedom in fixing prices of its products. For example, if a company provides free home delivery of goods, it can fix a relatively higher price for its product.

Competency Based Questions

Q.1 Ashwin was a fashion designer. On losing his job, he decided to sell the designer clothes online under the brand name 'Kogque'. The garments were made of good quality fabric with intricate design and skilled craftsmanship, making them expensive to produce. Realizing that the online market is very competitive, he decided to charge a reasonable price for the garments. The price would cover the cost of production and sale of garments as well as give him 10% margin over and above the cost.

Identify and explain two factors affecting the price determination discussed in the above case.

Ans. Following are the two factors affecting the price determination:

(i) Product cost (ii) Extent of competition in the market (explain)

Q.2 Drug price watchdog 'National Pharmaceutical Pricing Authority' (NPPA) has decided to cap the prices of the medicines, for which the prices rise by more than 20% in a year. This has been done in pursuance of the 'public interest' clause in the drugs law.

(a) Identify and explain the consideration that is being kept in mind by the NPPA while fixing the price of medicines.

(b) Explain any four other considerations affecting the fixation of price of the product, apart from the one identified above.

Ans. (a) Government and other regulations (Explain)

(b) Other factors affecting price of a product are: (Explain)

• Product cost • The Utility and Demand • Pricing Objectives • Marketing Methods Used

Components of Physical Distribution

Physical distribution covers all the activities required to physically move goods from manufacturers to the customers. Important activities involved in the physical distribution include transportation, warehousing, material handling, and inventory control. These activities constitute major components of physical distribution.

1. Order processing

In a typical buyer-seller relationship order placement from customers to the manufacturers is the first step. A good physical distribution system should provide for an accurate and speedy processing of orders. In the absence of which goods would reach the customers late or in wrong quantity or specifications. This would result in customer dissatisfaction, with the danger of loss of business and goodwill.

2. Transportation

Transportation is the means of carrying goods and raw materials from the point of production to the point of sale. It is important because unless the goods are physically made available, the sale cannot be completed.

3. Warehousing

Warehousing refers to the act of storing and assorting products in order to create time utility in them.

- The basic purpose of warehousing activities is to arrange placement of goods and provide facilities to store them.
- The need for warehousing arises because there may be difference between the time a product is produced and the time it is required for consumption.
- Generally larger the number of warehouses a firm has, lesser would be the time taken in serving customers at different locations but greater would be the cost of warehousing and vice-versa. Thus, the firm has to strike a balance between the cost of warehousing and the level of customer service.

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for products requiring long-term storage (such as agricultural products) the warehouses are located near production sites. This helps in minimising the changes on transportation of the goods. On the other hand, the products which are bulky and hard to ship (machinery, automobiles, etc.) as well as perishable products (bakery, meat, vegetables, etc.) are kept at different locations near the market.

4. Inventory control

A very important decision in respect of inventory is deciding about the level of inventory. The higher the level of inventory, the higher will be the level of service to customers but the cost of carrying the inventory will also be high since lot of capital would be tied up in the stock. Thus, a balance is to be maintained in respect of the cost and customer satisfaction.

Competency Based Question

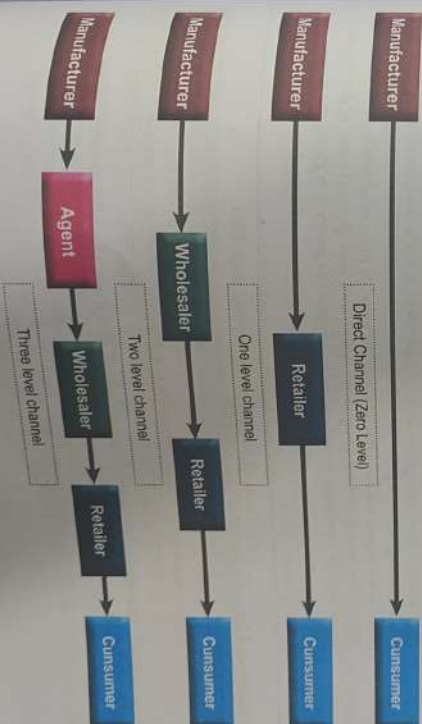
Fast Runners has become one of the most recognised athletic brands in India. It deals in a wide variety of sportswear. However, of late it has been facing difficulty in keeping its inventory under control. In 2022, the company adopted an inventory management software which helped it to predict items that could sell best and prepare the company to meet their demand. This has helped the company in providing better customer satisfaction by making the goods physically available to them.

State the three activities Fast Runners should undertake other than the one discussed above, in order to ensure the availability of its products at the right place, at right time and in right quantity.

Three other activities that will ensure availability of products at the right time, at the right place and in right quantity are:
(i) Order processing (ii) Transportation (iii) Warehousing (explain)

Types of Channels of Distribution

'Channels of distribution' means the path through which the ownership of goods passes from the producer to the consumer. These people, institution, merchants, etc. who take part in the distribution function, are called 'Channels of Distribution'.

Types of Channels of Distribution

3. Labelling

Maximise

Labelling refers to designing the label to be put on the package.

Labels are useful in providing detailed information about the product, its contents, method of use, etc.

Example	Label for Apple Juice
Name of the product	Apple Juice
Name of the manufacturer	Manure Mafai
Address of the manufacturer	5A, Chandra Chowk, Delhi-110006
Net weight when packed	200 ml
Manufacturing date	20th Feb-2025
Expiry date	20th July 2025
Maximum retail price (MRP)	₹20
Batch number	D-4567
Directions for use	To be consumed within 3 days of opening
Comments	Just concentrate, sugar, preservatives.



The label may vary from a simple tag attached to the product (such as in case of local unbranded products like sugar, wheat, pulses, etc.) indicating some information about the quality or price, to complex graphics that are part of the package, like the ones on branded products (say the graphic of Bata and Parvati on the package of a popular brand of After Shave Lotion or of a lady offering a pen to solicit the views of the users, on the label of a detergent powder).

Pricing : Factors Affecting Price Determination

There are number of factors which affect the fixation of the price of a product. Some of the important factors in this regard are discussed as below:

1. Product cost

One of the most important factors affecting price of a good or service is its cost. This includes the cost of producing, distributing and selling the product.

The cost sets the minimum level or the floor price at which the product may be sold.

Generally, all marketing firms strive to cover all their costs, at least in the long run. In addition, they aim at earning a margin of profit over and above the costs. In certain circumstances, at the time of introducing a new product or while entering a new market, the products may be sold at a price, which does not cover all the costs. But in the long run, a firm cannot survive unless at least all its costs are covered.

Types of Costs

- There are broadly three types of costs: viz. Fixed Costs, Variable Costs and Semi-Variable Costs.
- Fixed costs are those costs which do not vary with the level of activity of a firm, say with the volume of production or sale. For example, rent of a building or salary of a sales manager remains the same whether 1,000 units or 10 units are produced in a week.
 - These costs which vary in direct proportion with the level of activity are called variable costs. For example, the cost of raw material, labour and power are directly related to the quantity of goods produced. Let us say, if the cost of wood for manufacturing one chair comes to ₹100, the cost of wood for 10 chairs would be ₹1000. Obviously, there will be no cost of wood if no chair is produced.
 - Semi-variable costs are those costs which vary with the level of activity but not in direct proportion with it. For example, compensation of a sales person may include a fixed salary of say ₹10,000 plus a commission of 5 per cent on sales. With an increase in the volume of sales, the total compensation will increase but not in direct proportion to the change in the volume of sale.
- Total Costs are the sum total of the fixed, variable and semi-variable costs for the specific level of activity, say volume of sales or quantity produced.

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1. The utility and demand

The utility provided by the product and the intensity of demand of the buyer sets the upper limit of price, which a buyer would be prepared to pay.

The buyer may be ready to pay up to the point where the utility from the product is at least equal to the price paid. The seller would, however, try to at least cover the costs. According to the law of demand, consumers usually purchase more units at a low price than at a high price.

The price of a product is affected by the elasticity of demand of the product.

When the demand of the product is inelastic, a rise in the price does not affect quantity demanded by buyers too much. Therefore, a firm can fix a higher price.

However, when the demand is elastic, a small rise in price results in a decrease in the quantity demanded by a large amount. Therefore, a lower price should be fixed.

Extent of competition in the market

Between the lower limit and the upper limit where would the price settle down, is affected by the nature and the degree of competition.

The price will tend to reach the upper limit in case there is a lesser degree of competition while under conditions of free competition, the price will tend to be set at the lowest level.

Competitors' prices and their anticipated reactions must also be considered before fixing the price of a product. Not only the price but the quality and the features of the competitive products must be examined carefully before fixing the price.

Pricing objectives

The price of a firm's goods and services is affected by the pricing objective of the firm. Pricing objectives of a firm may include:

- Profit maximisation:** If the firm decides to maximise profits in the short run, it will charge maximum price for its products. But if it wants to maximise its total profits in the long run, it will charge a lower per unit price so that it can capture a large market share and earn greater profits through increased sales.
- Obtaining market share leadership:** If a firm's objective is to obtain a larger share of the market, it will keep the price of its products at lower levels so that a greater number of people are attracted to purchase the products.
- Surviving in a competitive market:** If a firm is facing difficulties in surviving in the market because of intense competition or introduction of a more efficient substitute by a competitor, it may resort to discounting its products or running a promotion campaign to liquidate its stock.
- Achieving product quality leadership:** In this case, normally higher prices are charged to cover high quality and a high cost of Research and Development.

Government and legal regulations

In order to protect the interests of public against unfair practices in the field of price fixing, Government can intervene and regulate the price of commodities.

Government can declare a commodity as essential commodity and regulate its price.

The cost of a medicine manufactured by a company having monopoly in its production comes to ₹20 per strip of ten and the buyer is prepared to pay any amount for it, say ₹200. The seller may be tempted to charge the maximum amount ₹200 for the medicine. Usually in such a case, the Government does not allow the firms to charge such a high price and intervene to regulate the price of the medicine. This can be done by the Government by declaring the medicine as essential commodity and by regulating its price.

(Give explanation also)

Ans. The combination of variables used by Havaram to prepare its market offering are:

- Product — 'Their products include chips, biscuits, maza squashes.'
- Price — 'It charges a comparatively higher price than its competitors.' Or 'It offers regular discounts to its customers and easy credit terms to its retailers.'
- Place/Physical Distribution — 'It has five of its own retail shops.' Or 'It also sells its products through various grocery stores... right time.'
- Promotion — 'It regularly uses different communication tools to increase its sales.'

Q.2 Given below are some elements connected to a company.

(a) Energy drinks (b) retailers (c) print media (d) market-oriented prices

Identify and describe each category of the marketing mix based on the elements given above.

Ans. (a) Energy drink — Product: It means goods or services or 'anything of value, which is offered to the market for sale.

(b) Retailers — Place: It includes activities that make the firm's products available to the target customers.

(c) Print media — Promotion: It includes activities that communicate availability, features, merits, etc.

(d) Market-oriented prices — Price: Price is the amount of money customers have to pay to obtain the product.

Q.3 Zoom Udyog, a car manufacturing Co., has started its business with Zoom 800 and slowly launched Zoom-1000, Wagon-2, Swy-ty etc. and offered various services like after-sale service, availability of spare parts etc. Identify the element of marketing mix referred here.

Ans. Product

Q.4 Maruti Vega Ltd. entered the market with coloured television and have now introduced products like audio systems, air-conditioners, washing machines, etc. The company is not only offering the products but also handling complaints and offering after-sales services. Identify the element of marketing mix discussed here.

Ans. Product.

Three Important Product Decisions—Branding, Packaging and Labelling.

1. Branding

Meaning

The process of giving a name or a sign or a symbol etc., to a product is called branding.

One of the most important decisions that a marketer has to take in the area of 'product' is in respect of branding. He has to decide whether the firm's products will be marketed under a brand name or a generic name. Generic name refers to the name of the whole class of the product. For example, a book, a wristwatch, tyre, camera, toilet soap, etc. We know that a camera is a lens surrounded by plastic or steel from all sides and having certain other features such as a flash gun and so on. Similarly book is a bunch of papers, which are in a bound form, on which some useful information about a subject is printed. Thus, all products having these characteristics would be called by the generic name such as camera or book.

If products were sold by generic names, it would be very difficult for the marketers to distinguish their products from those of their competitors. Thus, most marketers give a name to their product, which helps in identifying and distinguishing their products from the competitors' products.

Generic Name	Brand Names
Shoes	Reebok shoes, Woodland shoes, Bata shoes, etc.
Pen	Baller pen, Bontomax pen, Cello pen, etc.
Car	BMW car, Honda City car, Maruti car, etc.
Tubelight	Phillips tubelight, Havells tubelight, etc.
Washing machine	LG washing machine, Samsung washing machine, etc.
Refrigerator	LG refrigerator, Whirlpool refrigerator, etc.
Television	Sony television, LG television, Videocon television, etc.

Various terms relating to branding

- **Brand:** A brand is a name, term, sign, symbol, design or some combination of them, used to identify the products—goods or services of one seller or group of sellers and to differentiate them from those of the competitors. For example, some of the common brands are Bata, Lifebuoy, Dunlop, and Parker.
- **Brand Name:** That part of a brand, which has two components—brand name and brand mark.
- **Brand Mark:** That part of a brand, which can be spoken, is called a brand name. In other words, brand name is the verbal component of a brand.
- **Brand Mark:** That part of a brand which can be recognised but which is not utterable is called brand mark. It appears in the form of a symbol, design, distinct colour scheme or lettering.
- **Trade Mark:** A brand or part of a brand that is given legal protection is called trademark. The protection is given against its use by other firms. Thus the firm, which got its brand registered, gets the exclusive right for its use. In that case, no other firm can use such name or mark in the country.

2. Packaging

Meaning

Packaging means the act of designing and producing the container or wrapper of a product and putting the product into it.

Packaging plays a very important role in the marketing success or failure of many products, particularly the consumer not-durable products like pulses, ghee, milk, salt, etc.

Three Levels of Packaging

1. **Primary Packaging:** It refers to the product's immediate container. In some cases, the primary package is kept till the consumer is ready to use the product (e.g., plastic packet for socks); whereas in other cases, it is kept throughout the entire life of the product (e.g., a toothpaste tube, a match box, etc.).
2. **Secondary Packaging:** It refers to additional layers of protection that are kept till the product is ready for use, e.g., a tube of shaving cream usually comes in a card board box. When consumers start using the shaving cream, they will dispose of the box but retain the primary tube.
3. **Transportation Packaging:** It refers to further packaging components necessary for storage, identification or transportation. For example, a toothpaste manufacturer may send the goods to retailers in corrugated boxes containing 10, 20, or 100 units.

Primary Packaging



Secondary Packaging



Transportation Packaging



Competency Based Questions

Q.1 Shyam bought a pain relieving ointment after seeing it being displayed in the chemist's shop. The ointment tube was packed in a cardboard box. Identify the different levels of packaging of the pain relieving medicine, when it was purchased by Shyam.

Ans. Different levels of packaging of the pain relieving medicine are:

- **Ointment tube:** Primary packaging
- **Cardboard box:** Secondary packaging

Q.2 Good Living Ltd. manufactures mosquito repellent tablets. These tablets are packed in strips of 12 tablets each. Each of these strips is packed in a cardboard box, 48 such boxes are then placed in a big corrugated box and delivered to various retailers for sale. State the purpose of packaging the tablets in a corrugated box.

Ans. The packaging of tablets in a corrugated box is necessary for the purpose of storage, identification and transportation.



Product

In common parlance, the word 'product' is used to refer only to the physical or tangible attributes of a product. For example, we say we have bought a car or a pen or a cell phone or a tractor. Our decision to buy a product is not only affected by its physical qualities, but also by certain non-tangible and psychological factors, e.g., brand name, reputation and holds, an engine, four wheels and so on. Rather than buying a car, he/she is not just buying a few nuts and bolts, an engine, four wheels and so on. Rather, he/she is buying a means of transport, a status symbol, guarantees and warranties accompanying the product, image of the company and many other such intangible attributes. Thus, in marketing, product is a mixture of tangible and intangible attributes, which are capable of being exchanged for a value, with ability to satisfy customer needs. Besides physical objects, we also include services, ideas, persons, and places in the context of product. Thus, product may be defined as anything that can be offered to a market to satisfy a want or need. It is offered for attention, acquisition, use or consumption. From the customer's point of view, a product is a bundle of utilities, which is purchased because of its capability to provide satisfaction of certain need. A buyer buys a product or service for what it does for him or her, the benefit it provides to her. There can be three types of benefits a customer may seek to satisfy from the purchase of a product, viz., (i) functional benefits, (ii) psychological benefits, and (iii) social benefits. For example, the purchase of a motorcycle provides functional utility of transportation, but at the same time satisfies the need for prestige and esteem and provides social benefit by the way of acceptance from a group, by riding a motorcycle. Thus, all these aspects should be considered while planning for a product.

2. Price

Meaning

Price may be defined as the amount of money paid by a buyer (or received by a seller) in consideration of the purchase of a good or a service.

When a product is bought, some money is paid for it. This money represents the sum of values that consumers exchange for the benefit of having or using the product and is referred to as the price of the product. Similarly, money paid for the services such as fare for the transport service, premium for an insurance policy, and fee to a doctor for his medical advice represent the price of these services. Pricing occupies an important place in the marketing of goods and services by a firm. No product can be launched without a price tag or at least some guidelines for pricing.

Pricing is often used as a regulator of the demand of a product. Generally, if the price of a product is increased, its demand comes down, and vice-versa.

Price is the single most important factor affecting the revenue and profit of a firm. Thus, most marketing firms give high importance to the fixation of price for their products and services.

The marketers have to take several crucial pricing decisions such as:

- Setting the pricing objectives (e.g., profit maximisation, obtaining market share leadership, surviving in a competitive market, etc).
- Determining the pricing strategies
 - Market penetration pricing strategy*, i.e. setting the lower price to capture a large market share. Maruti Suzuki uses this strategy.
 - Market skimming pricing strategy*, i.e. setting a high price to maximise market skimming. Sony, Mercedes, BMW, etc. use this strategy.
- Analysing the factors determining the price, e.g. product costs, competition, etc.
- Fixing a price for the firm's products.
- Decisions in respect of discount to customers, traders, credit terms, etc.

3. Place or Physical distribution

One of the important elements of marketing mix is the physical distribution of goods and services. It is concerned with making the goods and services available at the right place, so that people can purchase the same.

Meaning

The physical handling and movement of goods from place of production to the place of distribution is referred to as physical distribution.

Unit-11 Marketing

There are two important decisions relating to this aspect

- The decision regarding physical movement of goods from producers to consumers (or user).* It includes four major activities, viz., managing inventory, order processing, warehousing and transportation.
- The decision regarding the channel of distribution, i.e. intermediaries in the distribution process, such as retailers, wholesalers, agents, etc.*

Place or physical distribution includes activities that make firm's products available to the target customers. Once goods are manufactured, packaged, branded, priced, and promoted, these must be made available to customers at the right place, in right quantity and at the right time. For example, a person concerned about the quality design, etc. of a product, say, shoes, wants to buy it. He/she goes to a retail outlet and asks for the product. If the product is not available in that shop, he/she may purchase some of the alternative brand available. This way a sure sale is not possible because goods were not available at the place where the customer wanted to purchase. Thus, it is an important responsibility of the marketers to make the product physically available at a place where the customers would like them to buy.

4. Promotion

Meaning

Promotion refers to the use of communication with the twin objectives of informing potential customers about a product and persuading them to buy it.

A company may produce a good quality product, price it appropriately and make it available at the selling points, which are convenient to customers. But in spite of all this, the product may not sell well at the market. There is a need for developing proper communication with the market. In the absence of communication, the customers would not be able to know about the product and how it can satisfy their needs and wants or may not be convinced about its utility and benefits.

Promotion of products and services includes activities that communicate availability, features, merits, etc. of the products to the target customers and persuade them to buy it. Most marketing organisations undertake various promotional activities and spend substantial amount of money on the promotion of their goods through using number of tools such as advertising, personal selling and sales promotion techniques (like discounts, free samples, etc.). A large number of decisions are to be taken in each of the areas specified above. For example, in respect of advertising it is important to decide about the message, the media to be used (e.g., print-media, newspaper, magazines, etc.). The success of a market offer will depend on how well these communication/promotional tools are mixed to create superior value for the customers and simultaneously achieve their sale and profit objectives.

Function is an important element of marketing mix by which marketers makes use of various tools of communication to encourage exchange of goods and services in the market.



Competency Based Questions

Q.1 'Hayatani' is a famous chain selling a large variety of products on the Indian market. Its products include chips, biscuits, sweets and squashes. It charges a higher price than its competitors as it sells quality products. Besides, it offers regular discount to its customers and easy credit terms to its retailers. It has five of its own retail shops. It also sells its products through various grocery stores at the right time. It regularly uses different communication tools to increase its sales.

The above para describes the combination of variables used by Hayatani to prepare its market offering. Identify and explain the variables.

Subjective Questions 11.1



- Q1 Describe marketing as a social process.
- Q2 *Marketing is not merely a post-production activity.* Explain. (3 marks)
- Q3 State any three features of marketing. (3 marks)
- Q4 Explain the following features of marketing: (3 marks)
- (i) Creating a market offering (ii) Exchange mechanism
- Q5 For any exchange to take place, what conditions must be satisfied? State any four conditions. (4 marks)
- Q6 What functions does marketing perform in the process of exchange of goods and services? State any six functions. (6 marks)
- Q7 Explain the following functions of marketing: (6 marks)
- (i) Gathering and analysing market information (ii) Packaging and Labelling (iii) Customer support services
- Q8 Explain the following functions of marketing: (6 marks)
- (i) Marketing planning (ii) Branding (iii) Physical distribution
- Q9 Explain the following functions of marketing: (6 marks)
- (i) Product designing and development (ii) Pricing of products (iii) Transportation
- Q10 Explain the following functions of marketing: (6 marks)
- (i) Standardisation and Grading (ii) Promotion (iii) Storage or Warehousing
- Q11 Explain briefly the following Marketing Management Philosophies: (6 marks)
- (i) The Production Concept (ii) The Selling Concept (iii) The Marketing Concept
- Q12 Explain briefly the following Marketing Management Philosophies: (4 marks)
- (i) The Product Concept (ii) The Social Marketing Concept
- Q13 Distinguish between the product concept and production concept of marketing on the basis of: (4 marks)
- (i) Starting point (ii) Focus (iii) Means (iv) End
- Q14 Distinguish between the Selling concept and Marketing concept of marketing on the basis of: (4 marks)
- (i) Starting point (ii) Focus (iii) Means (iv) End
- Q15 What is the social concept of marketing? Explain. (3 marks)
- Q16 What are the pillars of the Marketing Concept? State. (3 marks)

11.2

Marketing Mix: Concept and Elements

Concept of Marketing Mix

The combination of variables chosen by a firm to prepare its market offering is called marketing mix.

DEFINITION OF MARKETING MIX

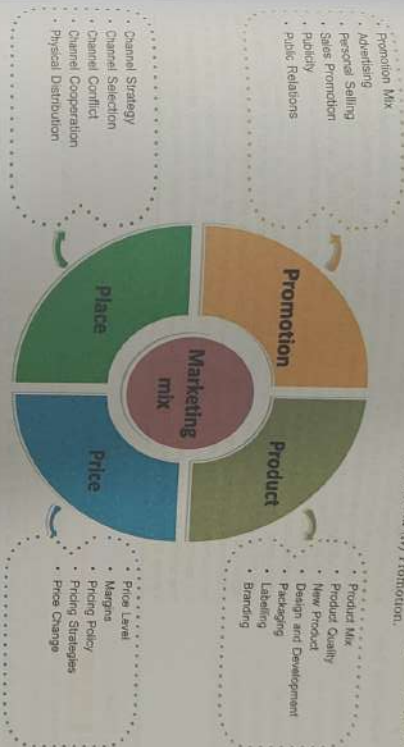
Marketing mix is the set of marketing tools that the firm uses to pursue its marketing objectives in the target market.

—Philip Kotler

Unit-11 Marketing

Elements of Marketing Mix

The marketing mix consists of various elements, which have broadly been classified into four categories, popularly known as four Ps of marketing. These are: (i) Product, (ii) Price, (iii) Place, and (iv) Promotion.



1. Product

Meaning

Product means goods or services or 'anything of value', which is offered to the market for sale.

Product mix is the combination of all products offered for exchange by a company.

Product Mix of Popular Companies

HUL: Close-up toothpaste, Lifebuoy soap, Fair & Lovely cream, Surf detergent powder, etc.

The Tata steel: Trucks, Salt, etc.

Amul: Amul milk, ghee, butter, cheese, etc.

P&G: Olay, Head & Shoulders, Pantene, Whisper, Pampers, Vicks, Ariel

LG Electronics: Televisions, Refrigerators, Colour monitors for computers, A.Cs, etc.

The important product decisions include deciding about the features, quality, packaging, labelling and branding of the products.

Top Tip

The concept of product relates to not only the physical product as mentioned in the above examples but also the benefits offered by it from customer's view point. (For example toothpaste is bought for whitening teeth, strengthening gums, etc.) The concept of product also includes the extended product or what is offered to the customers by way of after sales services, handling complaints, availability of spare parts etc. These aspects are very important, particularly in the marketing of consumer durable products (like Automobiles, Refrigerators, etc.).

Differences in the Marketing Management Philosophies

Basis	Production Concept	Product Concept	Selling Concept	Marketing Concept	Societal Marketing Concept
1. Starting point	The marketing efforts start after the product is produced in the factory.	The marketing efforts start after the product is produced in the factory.	The marketing efforts start after the product is produced in the factory.	The marketing efforts start from the identification of needs of the target market.	The marketing efforts start from the identification of needs of the target market and the society.
2. Focus	Quantity of product	Quality of product—product should be of high quality.	It involves pushing the sale of existing products.	Its focus is on satisfaction of customers' needs.	Customer need and society's well-being—It takes care of long-term well-being of the consumer as well as the society.
3. Means	Availability and affordability of the product.	Continuous improvement in the quality of product.	It uses aggressive selling and promotional techniques like advertising, personal selling and sales promotion to achieve the objective.	It uses integrated marketing (in respect of product, price, promotion and physical distribution) as a means to achieve the objective.	It uses integrated marketing as a means to achieve the objective.
4. Ends/Objective	Its objective is to earn profits through large volume of production.	Its objective is to earn profits through product quality improvements.	Its objective is to earn profits through increased volume of sales.	Its objective is to earn profits by satisfying needs of the target market better than the competitors.	Its objective is to earn profits through customer satisfaction and social welfare.

Competency Based Questions



Q.1 Identify and explain the Marketing Management philosophy adopted in the following cases:

- Mansi, a shoe manufacturer for school students, decided to maximise her profit by producing and distributing on a large scale and thereby reducing the average cost of production.
- Nisha, a school bag manufacturer decided to improve the product for profit maximisation and thus added a waterborne holder to the existing design.
- Jasdeep, a dealer in school uniforms, decided to maximise his profit by using different aggressive promotional efforts.
- Amar is engaged in manufacturing of refrigerators. He surveyed the market and found that customers need a refrigerator with a separate provision of water cooler in it. He decided to launch the same refrigerator on the market.

Ans. (i) Production concept; (ii) Product concept; (iii) Selling concept; (iv) Marketing concept; (v) Societal marketing concept.

Q.2 'Beany Products Ltd' is a natural and ethical beany brand famous for offering organic beany products for men and women. The company uses plant based materials for its products and is the No.1 beany brand in the country. It not only satisfies its customers but also believes in overall protection of the planet.

Identify the marketing management philosophy being followed by 'Beany Products Ltd.'

Ans. Societal marketing concept.

Q.3 Radhika Ltd. manufacturing refrigerators takes all the marketing decisions from the point of view of the separate provision for water cooler in it. The company not only started producing refrigerators with these features but also priced it at a level which the customers are willing to pay. Consequently, the sales of the firm doubled in a month. Identify the marketing management philosophy followed by Radhika Ltd.

Ans. The marketing concept.



Competency Based Questions 11.1

Q.1 Radhika was a student of Business Studies of Class XII. Her father was a farmer who grew different varieties of rice and was well-versed in various aspects of rice cultivation. He was also selected by the government for a pilot-project on rice cultivation. As a project work in Business Studies she decided to study the feasibility of marketing good quality rice at a reasonable price. Her father suggested that she should use internet to gather customers' views and opinions. She found that there was a huge demand for packaged organic rice. She knew that there were no pre-determined specifications in case of rice because of which it would be difficult to achieve uniformity in the output. To differentiate the product from its competitors, she gave it the name of 'Malabar Organic Rice' and classified it into three different varieties namely—Popular, Classic and Supreme, based on the quality. She felt that these names would help her with product differentiation.

Explain the three functions of marketing, with reference to the above paragraph.

Ans. Functions of marketing, with reference to the above paragraph are: (Explain)

Q.2 (i) Gathering and analysing market information (ii) Standardisation and Grading (iii) Branding. Ginitia, Tanish and Rohit were friends from college days and now they are doing different kinds of business. They regularly meet and discuss their business ideas and exchange notes on customer satisfaction, marketing efforts, product designing, selling techniques, social concerns etc. In one of such meetings, Ginitia drew the attention of Tanish and Rohit towards the exploitation of consumers. She told that most of the sellers were exploiting the consumers in various ways and were not paying attention towards the social, ethical and ecological aspects of marketing, whereas she was not doing so. Tanish told that they were under pressure to satisfy the consumers, but stated that the consumers would not buy enough unless they were adequately convinced and motivated for the same.

Rohit stressed that a company could not achieve its objectives without understanding the needs of the customers. It was the duty of the businessmen to keep consumers' satisfaction in mind because business is run by the resources made available to them by society. He further stated that he himself was taking into consideration the needs of the customers.

Identify the various types of thinking that guided Ginitia, Tanish and Rohit in the marketing efforts of their business. Also, state one more feature of the various types of thinking identified that is not given in the above para.

Ans. Various types of thinking that guided the marketing efforts were: (Explain their concept)

• Ginitia—Societal Marketing concept • Tanish—Selling concept • Rohit—Marketing concept.

Q.3 The process of marketing involves creating a market offering and to satisfy the needs and wants of the present and potential buyers. The real question is how to create a market offering. Suppose, after gathering and analysing market information, a profitable business opportunity is seen by some firm in the field of producing soft drinks. To develop and market a new brand of soft drinks, the firm takes a number of important decisions, for example whether to go for any collaboration with a foreign manufacturer of soft drinks whether to produce for the local market or for a wider market, what will be the features of the new product so that it is attractive to the target customers whether the drink will be packed in glass bottles or plastic cans, what will be the name (brand name) of the drink, at what price it will be sold, on a par with the price at which other competitive brands are sold or below it or above it and so on.

(a) Identify and explain the two features of marketing discussed above.

(b) Identify and explain any four functions of marketing discussed above.

Ans. (a) The features of marketing discussed in the given paragraph are: (Explain)

- (i) Needs and wants (ii) Creating a market offering.
- (i) The functions of marketing discussed in the given paragraph are: (Explain any four)

(b) Gathering and analysing market information

(i) Product designing and development

(ii) Branding

(iii) Pricing of product

(iv) Packaging

(v) Marketing planning

(vi) Promotion

(vii) Place

(viii) People

(ix) Process

(x) Physical evidence

(xi) Price

(xii) Promotion

(xiii) Place

(xiv) People

(xv) Process

(xvi) Physical evidence

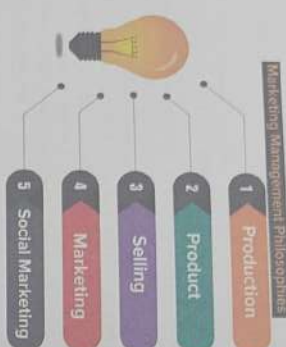
(xvii) Price

(xviii) Promotion

Marketing Management Philosophies/Concepts/Orientations

In order to achieve desired exchange outcomes with target markets, it is important to decide what marketing management philosophy (or thinking or concept or orientation) should guide the marketing efforts of an organisation. An understanding of the marketing management philosophy to be adopted is important as it determines the emphasis or the weightage to be put on different factors, in achieving the organisational objectives. *For example*, whether the marketing efforts of an organisation will focus on the product, say designing its features etc., or on selling techniques, or on customer's needs or the social concerns.

The concept or philosophy of marketing has evolved over a period of time, and is discussed as follows:



1. The Production Concept

During the earlier days of industrial revolution, the demand for industrial goods started picking up but the number of producers were limited. As a result, the demand exceeded the supply. Selling was no problem. Anybody who could produce the goods was able to sell.

- The focus of business activities was on quantity of product. Greater emphasis was placed on improving the production and distribution efficiency.
- It was believed that profits could be maximised by producing at large scale, thereby reducing the average cost of production.
- It was assumed that consumers would favour those products which were widely available at an affordable price. Thus, availability and affordability of the product were considered to be the key to the success of a firm.

2. The Product Concept

As a result of emphasis on production capacity during the earlier days, the position of supply increased over a period of time. Mere availability and low price of the product could not ensure an increased sale and as such the survival and growth of the firm. Thus, with the increase in the supply of the products, customers started looking for products which were superior in quality, performance and features. Therefore, the emphasis of the firms shifted from quantity of production to quality, performance and features of products.

- The focus of business activity changed to bringing continuous improvement in the quality, incorporating new features, etc.
- Profit maximisation through product quality improvements became the objective of a firm, under the concept of product orientation.

3. The Selling Concept

The increase in the scale of business further improved the position with respect to supply of goods, resulting in increased competition among sellers. The product quality and availability did not ensure the survival and growth of

firm because of the large number of sellers selling quality products. This led to greater importance to attracting and persuading customers to buy the product. The business philosophy changed.

Making sale through any means became important. It was assumed that buyers can be manipulated but what was forgotten was that in the long run what matters most is the customer satisfaction.

- It was assumed that the customers would not buy, or not buy enough, unless they are adequately attracted, convinced and persuaded to do so. Therefore, firms must undertake aggressive selling and promotional efforts such as advertising, personal selling and sales promotion to make customers buy their products.
- The focus of business firms shifted to pushing the sale of products through aggressive selling techniques with a view to persuading, luring or coaxing the buyers to buy the products.

4. The Marketing Concept

- The marketing concept implies that products are bought not merely because of their quality, packing or brand name, but because they satisfy a specific need of a customer.
- It assumes that in the long run, an organisation can achieve its objective of maximisation of profit by identifying the needs of its present and prospective buyers and satisfying them in an effective way.
- The focus of the marketing concept is on customer needs and the customer satisfaction becomes the means to achieving a firm's objective of maximising profit.
- The purpose of marketing is to generate customer value at a profit.
- All the decisions in a firm are taken from the point of view of the customers. In other words, customers' satisfaction become the focal point of all decision making in the organisation. If all marketing decisions are taken with this perspective, selling will not be any problem. It will automatically follow. The basic role of a firm then is to *identify a need and fill it*.

EXAMPLE What product will be produced, with what features and at what price shall it be sold, will depend on what do the customers want. If the customers want features like double door in a refrigerator or a separate provision for water cooler in it, the organisation would produce a refrigerator with these features and would price it at a level which the customers are willing to pay.

Phases of the Marketing Concept:

- Identification of market or customer who are chosen as the target of marketing efforts.
- Understanding needs and wants of customers in the target market.
- Development of goods or services for satisfying needs of the target market.
- Satisfying needs of the target market better than the competitors.
- Doing all this at a profit.

5. The Societal Marketing Concept

The societal marketing concept holds that the task of any organisation is to identify the needs and wants of the target market and deliver the desired satisfaction in an effective and efficient manner so that the long-term well-being of the consumers and the society is taken care of.

Thus, the societal marketing concept is the extension of the marketing concept as supplemented by the concern for the long-term welfare of the society. Apart from the customer satisfaction, it pays attention to the social, ethical and ecological aspects of marketing. There are large number of such issues that need to be attended.

Top Tip

The marketing concept cannot be considered as adequate if we look at the challenges posed by social problems like environmental pollution, deforestation, shortage of resources, population explosion and inflation. It is so because any activity which satisfies human needs but is detrimental to the interests of the society at large cannot be justified. The marketing management philosophy should, therefore, not be short-sighted to serve only consumers' needs. It should also consider large issues of long term social welfare.

Features of Marketing

1. Needs and Wants

The process of marketing helps individuals and groups in obtaining what they need and want. Thus, the primary reason or motivation for people to engage in the process of marketing is to satisfy some of their needs or wants. In other words, the focus of the marketing process is on satisfaction of the needs and wants of individuals and organisations. A marketer's job in an organisation is to identify needs of the target customers and develop products and services that satisfy such needs.

Difference between Needs and Wants

A need is a state of felt deprivation or feeling of being deprived of something. If unsatisfied, it leaves a person unhappy and uncomfortable. For example, on getting hungry, we become uncomfortable and start looking for objects that are capable of satisfying our hunger. Needs are basic to human beings and do not pertain to a particular product.

Wants, on the other hand, are culturally defined objects that are potential satisfiers of needs. In other words, human needs, shaped by such factors as culture, personality and religion are called wants. A basic need for food, for example, may take various forms such as want for dosa and rice for a South Indian and chapatti and vegetables for a North Indian person.

YOU KNOW?

2. Creating a market offering

Market offering refers to a complete offer for a product or service, having given features like size, quality, taste, etc. at a certain price, available at a given outlet or location and so on. For example, offering a cell phone, with good size of memory (say, 16 GB), redression, stewing, internet, camera, etc. for a given price, say ₹10,000, available for sale at the firm's exclusive shops in and around all metropolitan cities in the country.

A good 'market offering' is the one which is developed after analysing needs and preferences of the potential buyers.

3. Customer value

The process of marketing facilitates exchange of goods and services between the buyers and the sellers. The buyers, however, will purchase a product only if it is perceived to be giving greatest benefit or value for the money. The purpose of marketing is to generate customer value at a profit.

The job of a marketer, therefore, is to add to the value of the product so that the customers prefer it in relation to the competing products and decide to purchase it.

4. Exchange mechanism

The process of marketing involves exchange of goods and services for money or for something of value to them. Exchange refers to the process through which two or more parties come together to obtain the desired product or service from someone, offering the same by giving something in return. For example, a person feeling hungry may get food by offering to give money or some other product or service in return to someone who is willing to accept the same for food. Exchange is, therefore, referred to as the essence of marketing.

For any exchange to take place, it is important that the following conditions are satisfied:

- Involve ment of at least two parties viz. the buyer and the seller.
- Each party should be capable of offering something of value to the other. For example, the seller offers a product and the buyer, money.
- Each party should have the ability to communicate and deliver the product or service. No exchange can take place if the buyers and sellers are not able to communicate with each other or if they cannot deliver something of value to the other.
- Each party should have freedom to accept or reject the other party's offer.
- The parties should be willing to enter into transactions with each other. Thus, the acceptance or rejection of the offer takes place on voluntary basis rather than on the basis of any compulsion.

What to know!

MARKETING IS NOT MERELY A BUSINESS PHENOMENON, OR CONFINED ONLY TO BUSINESS ORGANIZATIONS.

Marketing activities are equally relevant to non-profit organisations such as hospitals, schools, sports clubs and social and religious organisations. It helps these organisations in achieving their goals such as spreading the message of family planning, improving the literacy standards of people and providing medication to the sick, etc.

Functions of Marketing

1. Gathering and analysing market information

One of the important functions of a marketer is to gather and analyse market information. This is necessary to identify the needs of the customers and take various decisions for the successful marketing of the products and services. This is important for making an analysis of the available opportunities and threats as well as strengths and weaknesses of the organisation, and in deciding what opportunities can best be pursued by it.

For example, rapid growth is predicted in several areas such as use of the Internet, market for cell phones, etc. Which of these areas a particular organisation should enter, or in which area should it expand, requires a careful scanning of the strengths and weaknesses of the organisation, which is done with the help of careful market analysis.

With the growth of computers, a new trend has emerged in the collection of market information. More and more companies are using interactive sites on the Internet, to gather customer views and opinions, before taking important business decisions. One of the popular TV News Channel (in Hindi) seeks viewers' choice (through SMS) on which of the given four or five main news stories of the day should be broadcasted as detailed story at the prime time, to ensure that the viewers get to listen to the story of their own choice.

2. Marketing planning

Another important function of marketing is to develop appropriate marketing plans to achieve the marketing objectives of the organisation. For example, a marketer of LED televisions, having 10 per cent of the current market share, aims at enhancing his/her market share to 20 per cent in the next two years. He/She will have to develop a complete marketing plan covering various important aspects such as increasing the level of production, promotion of the products, etc.

3. Product designing and development

Another important marketing activity relates to designing and developing the product in such a way that it attracts the target customers. A good design can improve performance of the product and also give it a competitive advantage in the market. For example, when a person plans to buy any product, say a motorcycle, he not only sees its features like price, mileage, etc. but also the design aspects like its shape, style, etc.

4. Standardisation and Grading

Standardisation refers to producing goods of pre-determined specifications, which helps in achieving uniformity and consistency in the output. Standardisation ensures the buyers that goods conform to the pre-determined standards of quality, price and packaging and reduces the need for inspection, testing and evaluation of the products.

Grading is the process of classification of products into different groups, on the basis of some of its important characteristics such as quality, size, etc.

Grading ensures that goods belong to a particular quality and helps in realising higher prices for high quality output. Grading is particularly necessary for products which are not produced according to pre-determined specifications, such as in the case of agricultural products, say wheat, oranges, etc.

5. Packaging and Labelling

Packaging refers to designing and developing the package for the products. The label may vary from a simple tag to complex graphics.

Packaging and labelling have become so important in modern day marketing that these are considered as the pillars of marketing. Packaging is important not only for protection of the products but also serves as a promotional tool. Sometimes, the quality of the product is assessed by the buyers from packaging. In the success of many of the consumer brands such as Lays or Uncle Chips potato wafers, Clinic Plus shampoo, Colgate Toothpaste, etc., packaging has played an important role.

6. Branding

A very important decision area for marketing of most consumer products is whether to sell the product in its generic name (name of the category of the product, say Fun, Pen, etc.) or to sell them in a brand name (such as Orient Pen, or Reynolds Pen).

Brand name helps in distinguishing the product of a firm with that of the competition, which in turn, helps in building customer's loyalty and in promoting its sale.

The important decision areas in respect of branding include deciding the branding strategy, say whether each product will be given a separate brand name or the same brand name will be extended to all products of the company, say Phillips bulbs, tubes and television or Videocon washing machine, television, and refrigerator.

7. Pricing of products

Price of product refers to the amount of money customers have to pay to obtain a product. Price is an important factor affecting the success or failure of a product in the market. The demand for a product or service is related to its price. Generally lower the price, higher would be the demand for the product and vice-versa. The marketers have to properly analyse the factors determining the price of a product and take several critical decisions in this respect, including setting the pricing objectives, determining the pricing strategies, determining the price and changing the prices.

8. Promotion

Promotion of products and services involves informing the customers about the firm's product, its features, etc., and persuading them to purchase these products. The four important methods of promotion include Advertising, Personal Selling, Sales Promotion and Public Relations.

A marketer has to take several critical decisions in respect of promotion of the products and services such as deciding the promotion budget, the promotion mix, i.e., the combination of the promotional tools that will be used, the promotion budget, etc.

9. Physical distribution

Managing physical distribution is another very important function in the marketing of goods and services. The two major decision areas under this function include:

- Decision regarding channels of distribution or the marketing intermediaries (like wholesalers, retailers) to be used; and
- Physical movement of the product from where it is produced to a place where it is required by the customers for their consumption or use.

The important decision areas under physical distribution include order processing, managing inventory (levels of stock of goods), storage or warehousing and transportation of goods from one place to the other.

10. Transportation

Transportation involves physical movement of goods from one place to the other. As generally the users of products, particularly consumer products are wide spread and geographically separated from the place these are produced, it is has to be transported not only within the state but also to other far off places like Tamil Nadu, Punjab, Jammu and Kashmir and Haryana, Rajasthan, where it is consumed.

A marketing firm has to analyse its transportation needs after taking into consideration various factors such as nature of the product, cost and location of target market and take decisions in respect of mode of transportation to be chosen and other related aspects.

11. Storage or Warehousing

Usually there is a time gap between the production or procurement of goods and their sale or use. It may be because of irregular demand for the products such as in the case of woollen garments or Raincoats. Also, there may be irregular

supply because of seasonal production such as in the case of agricultural products (sugarcane, rice, wheat, cotton, etc.). In order to maintain a smooth flow of products in the market, there is a need for proper storage of the products. Further, there is a need for storage of adequate stock of goods to protect against unavoidable delays in delivery or to meet our contingencies in the demand.

In the process of marketing, the function of storage is performed by different agencies such as manufacturers, wholesalers and retailers.

12. Customer support services

A very important function of marketing relates to developing customer support services such as after-sales services, handling customer complaints, maintenance services, technical services, etc. All these services aim at providing maximum satisfaction to the customers, which in turn helps in procuring repeat sales from the customers and developing brand loyalty for the product.

Competency Based Questions

Q.1 Since childhood Nitu and Janak had been watching their grandmother procuring wheat from the market, washing it well, drying it and getting it converted into Atta. They conducted a survey to collect data to identify whether there is a demand for ready-made Atta and realised that with the growing number of working women, it is the need of the hour to manufacture high quality Atta. They named their product 'Srijan' and set up 'Srijan Atta Factory' at Jaunpur Village. To penetrate the market, they decided to keep the price low. For maintaining a smooth flow of their product into the market and avoiding delays in delivery, it was decided to store wheat at SKM Services which had scientific processes and logistics facilitating quick delivery. They also set up an online complaint portal to take care of consumer preferences.

By quoting the lines from the above paragraph, state five marketing functions undertaken by Nitu and Janak for successful marketing of 'Srijan' Atta. (5 marks)

Ans. Marketing functions undertaken by Nitu and Janak:

- Gathering and analyzing market information is necessary to identify the needs of the customers and take various decisions for successful marketing of products and services.
- They conducted a survey to collect data to identify whether there is a demand for ready-made Atta and realised that with the growing number of working women, it is the need of the hour to manufacture high quality Atta.
- branding is the process of giving a name/sign/symbol to the product in order to distinguish the product from that of competitors. They named their product 'Srijan'.
- Pricing of product involves fixation of price of a product and taking various related decisions like pricing strategies. To penetrate in the market, they decided to keep the price low.
- Storage or warehousing refers to arranging for proper storage of goods to maintain a smooth flow of goods in the market and avoid delay in delivery. For maintaining a smooth flow of their product into the market and avoiding delays in delivery, it was decided to store wheat at SKM Services which had scientific processes and logistics facilitating quick delivery.
- Customer support Services aim at providing maximum satisfaction to the customers for developing brand loyalty for a product. They also set up an online complaint portal to take care of consumer grievances.

Q.2 Bt Pvt. Ltd. is a company manufacturing organic shampoo with the brand name 'Pure Shine'. This name will help the company in creating product differentiation. To satisfy the needs of the customers in the target market the company used natural ingredients like curry leaves, amla, rice, etc. The focus of the company is on satisfaction of customers' needs. To have a higher demand of shampoo it decided to fix a lower price in comparison to the other shampoos available in the market. To inform the customers about the shampoo and its features etc., the company used various promotional tools. For maximum satisfaction of customers, the company provides the contact details of the customer care centre to handle customer complaints.

Identify and explain any three functions of marketing discussed in the above paragraph.

Ans. Functions of marketing (any three):

- Branding (ii) Pricing (iii) Promotion (iv) Customer Support Services

11.1

Marketing: Concept, Functions and Philosophies

Concept of Marketing

Traditionally, marketing has been described in terms of its functions or activities. In this respect, marketing has been referred to as performance of business activities that direct the flow of goods and services from producers to consumers.

In modern times, emphasis is placed on describing marketing as a social process.

MEANING

Marketing is a process whereby people exchange goods and services for money or for something of value to them.

DEFINITIONS OF MARKETING

- ❖ Marketing is a social process by which individual groups obtain what they need and want through creating offerings and freely exchange products and services of value with others.
- ❖ Marketing is concerned with exchange of goods and services from producers to consumers or users in such a way that maximises the satisfaction of customer needs.
- ❖ Marketing is a social process where in people interact with others, in order to persuade them to act in a particular way, say to purchase a product or a service, rather than forcing them to do so.



Top Tip

Marketing is not merely a post-production activity. It includes many activities that are performed even before goods are actually produced, and continue even after the goods have been sold. For example, activities such as identification of customer needs, collection of information for developing the product, designing suitable package of the product and giving it a brand name are performed before commencement of the actual production. Similarly, many follow up activities are required for maintaining good customer relations for procuring repeat sales.



DID YOU KNOW?

Interesting Fact

MISCONCEPTIONS OF MARKETING

- Some people believe that marketing is the same thing as 'Shopping'. Whenever they go out shopping for certain products, they describe it as marketing.
- Some people describe marketing to mean 'Merchandising' or designing a product.
- There are some other people who confuse marketing with 'Selling' and feel that marketing activity starts after a product or service has been produced.

All these descriptions may be partly correct but marketing is a much broader concept. Shopping, merchandising and selling are all parts of a large number of activities undertaken by a firm, which are collectively called marketing.

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